

Bharat Heavy Electricals Limited

Industrials | Capital Goods | Large Cap | <https://www.bhel.com/>

Company Overview

Bharat Heavy Electricals Limited is an Indian central public sector undertaking and the largest government-owned electrical/ industrial technology company.

Financial Snapshot

Market Cap	■540,054 Cr	ROE	1.1%	Revenue CAGR	-4.7%
P/E	29.80	ROCE	3.3%	PAT CAGR	-22.4%
P/B	11.43	Net Margin	1.2%	EPS CAGR	-19.7%
EV/EBITDA	21.59	Operating Margin	3.0%	Quality Score	40.00
Dividend Yield	4.0%	Debt / Equity	0.36	Interest Coverage	1.59
Asset Turnover	0.40	EPS	■1.00	Book Value	N/A

Investment Strengths

- Low debt improves financial stability.
- Healthy dividend yield rewards shareholders.

Investment Risks

- Low ROE reflects weak capital efficiency.
- Weak profit margins reduce profitability.
- Low operating margin signals operational weakness.
- Poor interest coverage raises repayment concerns.
- Revenue growth has been weak.
- Profit growth has remained weak.
- EPS growth has been limited.
- Negative free cash flow may constrain future growth.

Cash Flow Intelligence

Operational Weakness

Negative operating cash flow indicates weak core business performance.

Heavy Borrowing

Business depends on external financing instead of operations.

Capital Allocation

Latest Pattern: Distress Signal

Pattern History

Year	Pattern
2013	Mixed
2014	Mixed
2015	Liquidating Assets
2016	Liquidating Assets
2017	Reinvestor
2018	Liquidating Assets
2019	Unknown
2020	Distress Signal
2021	Reinvestor
2022	Reinvestor
2023	Distress Signal
2024	Distress Signal

Pattern Change Summary

Changed	Yes
From	Mixed
To	Distress Signal